Registration number: 00526923

Howden Joinery Limited

Annual Report and Financial Statements

for the Period from 31 December 2017 to 29 December 2018

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Howden Joinery Limited

Contents

Company Information	1
Strategic Report	2
Directors' Report	3 to 4
Statement of Directors' Responsibilities	5
Independent Auditor's Report	6 to 8
Profit and Loss Account	9
Statement of Comprehensive Income	10
Balance Sheet	11
Statement of Changes in Equity	12
Notes to the Financial Statements	13 to 32

Howden Joinery Limited

Company Information

Directors	Theresa Keating
	Kevin Barrett
	Clive Cockburn
	Gareth Hopkins
	Mark Robson
	Andrew Witts
	Robert Fenwick
	Andrew Livingston
	Andrew Gault
Company secretary	Forbes McNaughton
Registered office	40 Portman Square London W1H 6LT
Auditor	Deloitte LLP 1 New Street Square London United Kingdom EC4A 3HQ

Howden Joinery Limited

Strategic Report for the Period from 31 December 2017 to 29 December 2018

The directors present their strategic report for the period from 31 December 2017 to 29 December 2018.

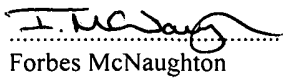
The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 27-31)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 32-37)
- Financial and non-financial KPIs (pgs 24-26)
- Future developments (pgs 8, 20-23, 30)
- Information about environmental matters, social, community and human rights issues (pgs 42-57)
- Description of culture, purpose, market, business model and strategy (pgs 10-17)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 75, 113)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Approved by the Board on 3 April 2019 and signed on its behalf by:



Forbes McNaughton
Company secretary

Howden Joinery Limited

Directors' Report for the Period from 31 December 2017 to 29 December 2018

The directors present their annual report and the audited financial statements for the period from 31 December 2017 to 29 December 2018.

Directors
The directors who held office during the period, were as follows:

Theresa Keating

Kevin Barrett

Clive Cockburn

Gareth Hopkins

Mark Robson

Andrew Witts

Matthew Ingle (resigned 2 April 2018)

Robert Fenwick

Andrew Livingston (appointed 29 January 2018)

Andrew Gault (appointed 10 April 2018)

Employees
The Company had 7,553 (prior period 7,054) employees during the current period and staff costs amounted to £279.5m (prior period £254.8m).

Principal activity
The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots.

Dividends
A dividend of £213.0m was proposed and paid during the current period (prior period: a dividend of £221.0m was proposed and paid).

Financial instruments

Objectives and policies, price risk, credit risk, liquidity risk and cash flow risk

These are managed on a Group basis. Further information can be found on pages 30-31 of the Howden Joinery Group Plc 2018 Annual Report and accounts, which is available at
http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp

Political donations
The Company did not make any political donations in the current or prior period.

Charitable donations
During the period the company made charitable donations of £1,951,835. Individual donations were:

	£
Other small cash and stock donations to over 3,500 local causes	970,272
Leonard Cheshire Disability - sponsoring the "Can Do" project	500,000
Donating and fitting kitchens for numerous local charities	379,259
Leonard Cheshire Disability - donating and fitting kitchens	102,304

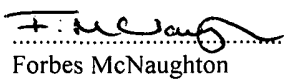
Going concern
The Company is able to meet its day-to-day working capital requirements through cash generated from operations. If required, the Company also has access to its parent company's asset-backed lending facility of £140m which expires in July 2019.

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in economic conditions and trading performance. After reviewing the results of this testing, and making due enquiries, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditors
Deloitte LLP have indicated their willingness to be reappointed for another term and will be deemed to be reappointed in accordance with s485 - 488 of the Companies Act 2006.

Approved by the Board on 3 April 2019 and signed on its behalf by:



Forbes McNaughton
Company secretary

Howden Joinery Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Independent Auditor's Report to the Members of Howden Joinery Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Howden Joinery Limited (the "Company"):

- give a true and fair view of the state of the Company's affairs as at 29 December 2018 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of the Company for the period from 31 December 2017 to 29 December 2018, which comprise the Profit and Loss Account, Statement of Comprehensive Income, Balance Sheet, Statement of Changes in Equity, and Notes to the Financial Statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 'Reduced Disclosure Framework' (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council ("FRC")'s Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We are required by ISAs (UK) to report in respect of the following matters where:

- the directors' use of the going concern basis of accounting in preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

We have nothing to report in respect of these matters.

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in respect of these matters.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in respect of these matters.

Independent Auditor's Report to the Members of Howden Joinery Limited

Use of our report
This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Claire Faulkner
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Claire Faulkner (Senior Statutory Auditor)
For and on behalf of Deloitte LLP, Statutory Auditor

London
United Kingdom

3 April 2019

Howden Joinery Limited

Profit and Loss Account for the Period from 31 December 2017 to 29 December 2018

	Note	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Turnover	4	1,485,243	1,378,980
Cost of sales		(606,743)	(541,866)
Gross profit		878,500	837,114
Administrative expenses		(597,067)	(579,354)
Operating profit		281,433	257,760
Other interest receivable and similar income	7	8	3,094
Interest payable and similar charges	8	-	(1)
		8	3,093
Profit before tax		281,441	260,853
Tax on profit on ordinary activities	12	(54,957)	(51,075)
Profit for the period		226,484	209,778

The notes on pages 13 to 32 form an integral part of these financial statements.

Howden Joinery Limited

Statement of Comprehensive Income for the Period from 31 December 2017 to 29 December 2018

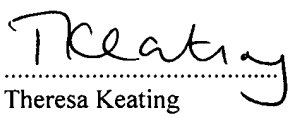
	2018 £ 000	2017 £ 000
Profit for the period	226,484	209,778
Total comprehensive income for the period	226,484	209,778

Howden Joinery Limited

(Registration number: 00526923)
Balance Sheet as at 29 December 2018

	Note	29 December 2018 £ 000	30 December 2017 (restated - see note 27) £ 000
Fixed assets			
Intangible assets	14	7,533	4,686
Property, plant and equipment	13	108,359	102,670
Investments	15	-	-
		115,892	107,356
Current assets			
Stocks	16	220,692	202,432
Debtors	17	1,497,114	1,235,212
Cash at bank and in hand	18	314	3,800
		1,718,120	1,441,444
Creditors: Amounts falling due within one year			
Trade and other payables	24	(1,446,700)	(1,180,345)
Income tax liability	12	(53,872)	(50,545)
Creditors: Amounts falling due within one year		(1,500,572)	(1,230,890)
Net current assets		217,548	210,554
Total assets less current liabilities		333,440	317,910
Provisions for liabilities	23	(4,217)	(4,768)
Net assets		329,223	313,142
Capital and reserves			
Share capital	19	100,000	100,000
Other reserves		25,935	22,957
Retained earnings		203,288	190,185
Shareholders' funds		329,223	313,142

Approved by the Board on 3 April 2019 and signed on its behalf by:



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Theresa Keating
Director

Howden Joinery Limited

Statement of Changes in Equity for the Period from 31 December 2017 to 29 December 2018

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
At 31 December 2017	100,000	22,957	190,185	313,142
Profit for the period	-	-	226,484	226,484
Total comprehensive income	-	-	226,484	226,484
Dividends	-	-	(213,376)	(213,376)
Current tax on share schemes	-	-	49	49
Deferred tax on share schemes	-	-	(54)	(54)
Share based payment transactions	-	2,978	-	2,978
At 29 December 2018	100,000	25,935	203,288	329,223

	Share capital £ 000	ESOP Reserve £ 000	Retained earnings £ 000	Total £ 000
At 25 December 2016	100,000	19,682	201,345	321,027
Profit for the period	-	-	209,778	209,778
Total comprehensive income	-	-	209,778	209,778
Dividends	-	-	(221,027)	(221,027)
Current tax on share schemes	-	-	158	158
Deferred tax on share schemes	-	-	(69)	(69)
Share based payment transactions	-	3,275	-	3,275
At 30 December 2017	100,000	22,957	190,185	313,142

Howden Joinery Limited

Notes to the Financial Statements for the Period from 31 December 2017 to 29 December 2018

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.

The address of its registered office is:
40 Portman Square
London
W1H 6LT
England

These financial statements were authorised for issue by the Board on 3 April 2019.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to business combinations, share-based payment, non-current assets held for sale, financial instruments, capital management, presentation of comparative information in respect of certain assets, presentation of a cash-flow statement, standards not yet effective, impairment of assets and related party transactions.

Where relevant, equivalent disclosures have been given in the group accounts of Howden Joinery Group Plc. These group accounts are available to the public and can be obtained from this company's registered office or at http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp.

Going concern
The financial statements have been prepared on a going concern basis.

Exemption from preparing group accounts
The financial statements contain information about Howden Joinery Limited as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its parent, Howden Joinery Group Plc, a company incorporated in England.

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 31 December 2017 have had a material effect on the financial statements.

2 Accounting policies (continued)

Revenue recognition
Revenue comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the company's activities. Revenue is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the company.

The company recognises revenue when:
The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the company activities.

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax
The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Tangible assets
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

2 Accounting policies (continued)

Depreciation
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	3 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	2 - 15 years

Intangible assets
Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use.

These costs are amortised on a straight line basis over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

Investments
Investments in subsidiaries are stated at cost less, where appropriate, provisions for impairment.

Cash and cash equivalents
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

Trade receivables
Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for the impairment of trade receivables is established when there is objective evidence that the company will not be able to collect all amounts due according to the original terms of the receivables.

2 Accounting policies (continued)

Stocks
Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted average method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, inventories are assessed for impairment. If inventory is impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

2 Accounting policies (continued)

Leases
Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee.

Assets held under finance leases are recognised as non-current assets of the company at the lower of their fair value at the date of commencement of the lease and at the present value of the minimum lease payments. These assets are depreciated on a straight-line basis over the shorter of the useful life of the asset and the lease term. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance costs in the income statement and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability

Assets leased under operating leases are not recorded on the balance sheet. Rental payments are charged directly to the income statement.

Dividends receivable
Dividend income from subsidiary companies is recognised when receivable.

Defined contribution pension obligation
A defined contribution plan is a pension plan under which fixed contributions are paid into a separate entity and has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

For defined contribution plans contributions are paid publicly or privately administered pension insurance plans on a mandatory or contractual basis. The contributions are recognised as employee benefit expense when they are due. If contribution payments exceed the contribution due for service, the excess is recognised as an asset.

Share capital
Ordinary shares are classified as equity. Equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments. If payment is deferred and the time value of money is material, the initial measurement is on a present value basis.

Dividends payable
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

Allowances against the carrying value of inventories
In order to achieve the accounting policy objective that inventories are stated at the lower of cost and net realisable value, the Company carries an allowance against products which it estimates may not sell at a price above cost, or where we may be holding levels of product in excess of estimated future demand. The Company bases these estimates on a regular review of product lifecycles and selling prices achieved in the market, and in particular on historical sales profiles of products after they have been discontinued. These estimates are updated based on actual experience, but the accuracy of the estimates at any point in time can be affected by the extent to which current products may not follow historical patterns.

Both the gross inventory balance and the amount of the allowance against their carrying value are material items and we would expect this to remain the case as the Company grows in size, and as consumer demand for regular introductions of new product continues. Details of inventories and of the allowances against their carrying amount for the current and prior period end are shown in the inventories note.

4 Turnover

The analysis of the company's turnover for the period from continuing operations is as follows:

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Sale of goods	1,485,009	1,378,980
Dividends received	234	-
	1,485,243	1,378,980

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Gain (loss) on disposal of tangible assets	30	(49)
Gain (loss) on disposal of intangible assets	-	(18)
	30	(67)

6 Operating profit

Arrived at after charging/(crediting)

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Depreciation expense	17,538	17,432
Amortisation expense	1,472	791
Write-down of inventory to net realisable value	9,835	7,607
Foreign exchange (gains)/losses	(1,984)	442
Rent payable on property	68,318	65,992
Operating lease expense - plant and machinery	19,313	18,469
(Profit)/loss on disposal of property, plant and equipment	(30)	49

7 Other interest receivable and similar income

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Interest income on bank deposits	8	3
Other finance income - intercompany interest	-	3,091
	8	3,094

8 Interest payable and similar charges

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Interest on obligations under finance leases and hire purchase contracts	-	1

9 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	2018 £ 000	2017 £ 000
Wages and salaries	248,209	226,354
Social security costs	22,631	21,049
Pension costs, defined contribution scheme	5,399	3,742
Redundancy costs	243	400
Share-based payment expenses	2,978	3,276
	279,460	254,821

The average number of persons employed by the company (including directors) during the period, analysed by category was as follows:

	2018 No.	2017 No.
Administration and support	446	419
Sales	7,107	6,635
	7,553	7,054

10 Directors' remuneration

During the period and the prior period, only one of the Company's directors was paid by this Company. Details of their remuneration are as follows:

	31 December 2017 to 29 December 2018 No.	25 December 2016 to 30 December 2017 No.
Received or were entitled to receive shares under long term incentive schemes	1	1
Exercised share options	-	1
Accruing benefits under defined benefit pension scheme	1	1

In respect of the highest paid director:

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Remuneration	503	541
Defined benefit accrued pension entitlement at the end of the period	57	55
Defined benefit accrued lump sum at the end of the period	1,522	1,440

During the period the highest paid director received or was entitled to receive shares under a long term incentive scheme.

11 Auditor's remuneration

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Audit of the financial statements	218	219

12 Income tax

Tax charged/(credited) in the income statement

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Current taxation		
UK corporation tax	53,922	50,703
UK corporation tax adjustment to prior periods	643	(155)
	54,565	50,548
Deferred taxation		
Current year	403	627
Adjustment in respect of prior years	(11)	(44)
Effect of changes in tax rates	-	(56)
Total deferred taxation	392	527
Tax expense in the income statement	54,957	51,075

The tax on profit before tax for the period is not higher than the standard rate of corporation tax in the UK (2017 - higher than the standard rate of corporation tax in the UK) of 19% (2017 - 19.25%).

The differences are reconciled below:

	31 December 2017 to 29 December 2018 £ 000	25 December 2016 to 30 December 2017 £ 000
Profit before tax	281,441	260,853
Corporation tax at standard rate	53,474	50,214
Increase (decrease) from adjustment for prior periods	633	(199)
Increase (decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	1,232	1,606
Increase (decrease) from effect of exercise employee share options	(392)	(490)
Deferred tax expense (credit) relating to changes in tax rates or laws	10	(56)
Total tax charge	54,957	51,075

12 Income tax (continued)

Deferred tax

Deferred tax movement during the period:

	At 31 December 2017 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 29 December 2018 £ 000
Share-based payment	(225)	19	55	(151)
Provisions	(898)	(46)	-	(944)
Accelerated tax depreciation	(1,917)	419	-	(1,498)
Net tax assets/(liabilities)	(3,040)	392	55	(2,593)

Deferred tax movement during the prior period:

	At 25 December 2016 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 30 December 2017 £ 000
Share-based payment	(547)	253	69	(225)
Provisions	(950)	52	-	(898)
Accelerated tax depreciation	(2,139)	222	-	(1,917)
Net tax assets/(liabilities)	(3,636)	527	69	(3,040)

The headline UK corporation tax rate was 20% up until 1 April 2017, when it reduced to 19%. This is due to fall to 17% with effect from 1 April 2020. The effect of these rate reductions has been reflected in the deferred tax balances in the financial statements.

13 Tangible assets

	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation				
At 31 December 2017	112,216	12,322	87,123	211,661
Additions	13,885	5,754	5,417	25,056
Disposals	(156)	-	(4,657)	(4,813)
Transfers	1,052	(11,381)	8,507	(1,822)
At 29 December 2018	126,997	6,695	96,390	230,082
Depreciation				
At 31 December 2017 (restated - see note 27)	71,880	-	37,111	108,991
Charge for the period	7,309	-	10,228	17,537
Eliminated on disposal	(156)	-	(4,649)	(4,805)
At 29 December 2018	79,033	-	42,690	121,723
Carrying amount				
At 29 December 2018	47,964	6,695	53,700	108,359
At 30 December 2017 (restated - see note 27)	40,335	12,323	50,012	102,670

14 Intangible assets

	Assets under construction £ 000	Other intangible assets £ 000	Total £ 000
Cost or valuation			
At 31 December 2017	515	10,153	10,668
Additions	383	2,114	2,497
Disposals	-	(8)	(8)
Transfers	(465)	2,288	1,823
At 29 December 2018	433	14,547	14,980
Amortisation			
At 31 December 2017 (restated - see note 27)	-	5,983	5,983
Amortisation charge	-	1,472	1,472
Amortisation eliminated on disposals	-	(8)	(8)
At 29 December 2018	-	7,447	7,447
Carrying amount			
At 29 December 2018	433	7,100	7,533
At 30 December 2017 (restated - see note 27)	515	4,171	4,686

15 Investments

The Company directly holds one £1 ordinary share in two subsidiary companies. This holding represents 100% of the issued share capital and voting rights of both of the subsidiary companies.

Details of the subsidiaries as at 29 December 2018 are as follows:

Name of subsidiary	Principal activity	Registered office	Holding	Proportion of ownership interest and voting rights held 2018	2017
Howden Joinery Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	Ordinary shares	100%	100%
Howden Kitchens Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	Ordinary shares	100%	100%

16 Stocks

	29 December 2018 £ 000	30 December 2017 £ 000
Raw materials and consumables	6,366	5,809
Work in progress	5,404	5,274
Finished goods and goods for resale	208,922	191,349
	220,692	202,432

The cost of Stocks recognised as an expense in the period amounted to £585,920 (2017 - £534,259). This is included within cost of sales.

17 Trade and other debtors

	29 December 2018 £ 000	30 December 2017 £ 000
Trade receivables	140,965	101,147
Receivables from related parties	1,335,073	1,116,205
Deferred Taxation	2,593	3,040
Prepayments	16,840	14,061
Other receivables	1,643	759
Total current trade and other receivables	1,497,114	1,235,212

18 Cash and cash equivalents

	29 December 2018 £ 000	30 December 2017 £ 000
Cash on hand	471	420
Cash at bank	(157)	3,380
	314	3,800

19 Share capital

Allotted, called up and fully paid shares

	29 December 2018		30 December 2017	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of £1 each	100,000	100,000	100,000	100,000

Allotted, called up and fully paid shares

	29 December 2018		30 December 2017	
	No.	£	No.	£
Ordinary shares of £1 each	100,000,000	100,000,000	100,000,000	100,000,000

20 Obligations under leases and hire purchase contracts

Operating leases - Plant and Machinery

The total future value of minimum lease payments is as follows:

	29 December 2018 £ 000	30 December 2017 £ 000
Within one year	14,199	13,654
In two to five years	31,264	29,385
In over five years	8,507	9,726
	53,970	52,765

Rent Payable

The lease agreements for this company's properties are managed by a fellow wholly-owned Group subsidiary, and the rents are disclosed in that company.

21 Pension and other schemes

Defined contribution pension scheme

The company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the company to the scheme and amounted to £5,398,586 (2017 - £3,742,802).

Defined benefit pension schemes

Plans that share risks between entities under common control

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries. Howden Joinery Corporate Services Limited is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in that company's accounts.

This company and the other participating Group subsidiary company, recognises a cost in its accounts equal to their contribution for the period.

22 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company. The various Group schemes are described below.

Share Incentive Scheme ("Freeshares")

Scheme description

This is an all-employee share incentive plan whereby participants receive a grant of free shares in the Group. If the employees are still employed by the Group three years after the grant, then the shares vest. Dividends are paid out on the shares between award date and vesting date. There are no other performance conditions attached to these awards.

Share Award Plan

Scheme description

This is a discretionary plan under which the Group may grant nil cost options subject to conditions as determined by the Group. The shares will vest at the end of a five year period commencing on the date of grant, subject to continuing employment.

22 Share-based payments (continued)

Co-investment Plan ("COIP")

Scheme description

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan. Details of the plan conditions are as follows:
Date of award: 2015; 2016
Vesting based on growth in profits - from year ended December: 2014; 2015
for the three-year period ending with the year ended December: 2017; 2018
Award vests at 15% if profits over the vesting period grow by: 8%; 8%
Award vests at 100% if profits over the vesting period grow by: 20%; 20%

If profits grow by a figure between the upper and lower thresholds for each year, the award will vest on a sliding scale.

Howden Joinery Group Long Term Incentive Plan ("LTIP")

Scheme description

This is a discretionary plan under which the Group may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture). The different types of awards are as follows:
(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011.
(ii) Market value options which vest after a three year period from the date of grant. 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period; 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved.
(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment.
(iv) Market value options. The vesting conditions for these options are the same as for that year's COIP, which are shown above
(v) Performance share plan. Vesting conditions are as follows:
Date of award: 2015; 2016
Vesting based on growth in profits - from year ended December: 2014; 2015
for the three-year period ending with the year ended December: 2017; 2018
Award vests at 15% if profits over the vesting period grow by: 8%; 8%
Award vests at 100% if profits over the vesting period grow by: 20%; 20%

Recruitment Plan

Scheme description

This is a discretionary plan under which the Group may grant employees conditional rights to acquire shares subject to conditions as determined by the Group. The awards granted under this plan may only be satisfied with existing shares.

23 Other provisions

	Warranties £ 000	Properties £ 000	Total £ 000
At 31 December 2017	3,623	1,145	4,768
Additional provisions	3,442	240	3,682
Provisions used	(3,620)	(118)	(3,738)
Unused provision reversed	-	(495)	(495)
At 29 December 2018	3,444	773	4,217
Non-current liabilities	3,444	773	4,217

24 Trade and other payables

	29 December 2018 £ 000	30 December 2017 £ 000
Trade payables	96,690	92,418
Accrued expenses	33,687	31,403
Amounts due to related parties	1,242,661	983,044
Social security and other taxes	72,630	72,294
Other payables	1,032	1,186
	1,446,700	1,180,345

25 Dividends

	29 December 2018 £ 000	30 December 2017 £ 000
Final dividend of £2,133.76 (2017 - £2,210.27) per ordinary share	213,376	221,027

26 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Group Plc.

The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available upon request from 40 Portman Square, London, W1H 6LT, or http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.

27 Prior period restatement

During the prior period, it came to the Company's attention that there were software assets that had historically been reported as tangible assets but which should have been reported as intangible assets. Accordingly the Company transferred these assets from the "Other property, plant and equipment" category of tangible assets to the "Other intangible assets" category of intangible assets in the prior period financial statements.

An error was made during this transfer. The cost of the assets was transferred, but the associated depreciation (of £5,248,000) was not transferred. In order to correct that, the company has restated the brought forward 2017 closing balances as shown in the table below.

The restatement affects figures on the balance sheet as well as in notes 13 and 14, as shown below.

Balance sheet heading	**Intangible assets**			**Tangible assets**		
Sub-category of assets	Other intangible assets		Total of all intangible assets	Other property, plant and equipment		Total of all tangible assets
Measure	Amortisation	Net book value	Net book value	Depreciation	Net book value	Net book value
	£'000	£'000	£'000	£'000	£'000	£'000
2017 closing balance as presented in the 2017 financial statements	(734)	9,419	9,934	(42,359)	44,764	97,422
Restatement	(5,248)	(5,248)	(5,248)	5,248	5,248	5,248
2017 closing balance as restated in the 2018 financial statements	(5,982)	4,171	4,686	(37,111)	50,012	102,670